

Plausible but Partly Fallacious Assumptions by Stockholders. Alert stockholders—if there are any such—are not likely to agree fully with the conclusion of Messrs. Berle and Means that they definitely have “surrendered the right that the corporation should be operated in their sole interest.” After all, the American stockholder has abdicated not intentionally but by default. He can reassert the rights of control that inhere in ownership. Quite probably he would do so if he were properly informed and guided. In good part his docility and seeming apathy are results of certain traditional but unsound viewpoints which he seems to absorb by inheritance or by contagion. These cherished notions include the following:

1. The management knows more about the business than the stockholders do, and therefore its judgment on all matters of policy is to be accepted.
2. The management has no interest in or responsibility for the prices at which the company’s securities sell.
3. If a stockholder disapproves of any major policy of the management, his proper move is to sell his stock.

Assumed Wisdom and Efficiency of Management Not Always Justified.

These statements sound plausible, but they are in fact only half truths—the more dangerous because they are not wholly false. It is nearly always true that the management is in the best position to judge which policies are most expedient. But it does not follow that it will always either recognize or adopt the course most beneficial to the shareholders. It may err grievously through incompetence. Stockholders of any given company appear to take it for granted that their management is capable. Yet the art of selecting stocks is said to turn largely on choosing the well-managed enterprise and rejecting others. This must imply that many companies are poorly directed. Should not this mean also that the stockholders of any company should be open-minded on the question whether its management is efficient or the reverse?

Interests of Stockholders and Officers Conflict at Certain Points. But a second reason for not always accepting implicitly the decisions of the management is that *on certain points* the interests of the officers and the stockholders may be in conflict. This field includes the following: